

Satyanarayan v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 31 May 2017 · Writ-C No. 25511 of 2017 · **Writ allowed. Demand notice dated 26.9.2015 and recovery citation dated 8.11.2016 quashed; licensee directed to issue a fresh provisional assessment and pass a reasoned final assessment after considering objections.**

HEADNOTE

U.P. Electricity Supply Code, 2005 — Clause 6.8(1)(b) — Theft assessment — Hearing and service of provisional assessment. A demand notice and recovery citation cannot stand where the consumer was not afforded the hearing mandatorily required by Clause 6.8(1)(b) and no final assessment recorded the authority's satisfaction that the provisional assessment notice had been served. The licensee must prepare a fresh provisional assessment, serve it, and make a reasoned final assessment after considering objections, following *Ashok Kumar v. State of U.P.*, 2008(6) ADJ 660 (DB).

FACTUAL SUMMARY

Satyanarayan challenged a demand notice dated 26 September 2015 and a consequential recovery citation dated 8 November 2016 issued by the distribution licensee. Counsel for the licensee, on instructions, stated that the petitioner had been caught committing theft of electricity; a provisional assessment was made; no objection was filed; a final assessment was prepared; a demand notice issued; and recovery initiated on non-deposit. The petitioner invoked Article 226 before the Allahabad High Court.

REUSABLE CONSTRUCTIONS

1. Opportunity of hearing under Clause 6.8(b) of the U.P. Electricity Supply Code, 2005 is mandatory before a final assessment; a demand and recovery founded on assessment without that hearing cannot be sustained. ¶ 1
2. A final assessment order must record the assessing officer's satisfaction that the provisional assessment notice was served; absence of such an order vitiates subsequent demand and recovery. ¶ 1
3. On quashing a theft-related demand for non-compliance with Clause 6.8, the licensee is to prepare a fresh provisional assessment, serve it, and make a reasoned final assessment after considering the consumer's objections in the light of *Ashok Kumar*. ¶ 1

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8(b)

mandatory hearing and service of provisional assessment before final assessment

HOLDING

Because the petitioner was not afforded the opportunity of hearing mandatorily required by Clause 6.8(1)(b) of the U.P. Electricity Supply Code, 2005, and no final assessment recorded the authority's satisfaction that the provisional assessment notice had been served, the demand notice dated 26.9.2015 and recovery citation dated 8.11.2016 cannot stand and are quashed. The respondents must prepare a fresh provisional assessment, serve it on the petitioner, and make a final assessment after considering objections with reasons, following *Ashok Kumar v. State of U.P.*, 2008(6) ADJ 660 (DB). ¶ 1

FLAG Court cited Clause 6.8(1)(b); catalog key is 6.8(b). The dispute was treated as theft of electricity, yet the Court applied Clause 6.8 (following *Ashok Kumar*) rather than cls. 8.1–8.2.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Ashok Kumar v. State of U.P. 2008(6) ADJ 660 (DB)			court	Referred

SCJ-1620 · Satyanarayan v. State of U.P. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.